SUNLIT SEA

Beneficiary's comments on the Draft Audit Report

Beneficiary: Sunlit Sea AS
Audit reference: BAEA487006
Project: 101083342 — SUREWAVE
Reporting period: 01/10/2022 – 31/03/2024

General

Sunlit Sea AS has reviewed the Draft Audit Report dated 23/10/2026 and submits the following comments. The beneficiary accepts the net adjustment of EUR 6 941,00 identified in the report; the adjustment amounts are not contested. The beneficiary disagrees with the classification of Findings 2, 3, 4, 5, 7 and 8 as "potentially systemic or recurrent in nature" and with the characterisation of simultaneous charging in Finding 7; both points are set out in the sections below.

During the audit and in subsequent communications before the Draft Audit Report, the beneficiary sought clarification on the correct day-equivalent and daily-rate methodology. The beneficiary now understands the Article 6.2.A.1 method as applied in the auditors' recalculation and has implemented it in the internal grant-cost tracking workbook.

Corrective measures have been implemented or are being implemented as described per finding.

On the "potentially systemic or recurrent" classification

The Draft Audit Report classifies Findings 2, 3, 4, 5, 7 and 8 as "potentially systemic or recurrent in nature". The beneficiary records its disagreement with this classification across all affected findings, consistent with the position stated at the closing meeting of 30 January 2026.

The classification signals residual risk of further unidentified errors beyond the audited population. For the findings concerned, that residual risk is not present:

- Findings 2, 3 and 4 all derive from a single methodology choice — the use of a 1 800-hour standard annual productive time to compute hourly personnel-cost rates, in place of the day-equivalent and daily-rate formula required under Article 6.2.A.1. This is one methodology, applied uniformly to all persons claimed in the audited period. It is not a control weakness that produces random or intermittent errors. The auditors identified and quantified the full impact across the audited period by extending the recalculation to 100% of the population for Findings 2 and 3, and by applying the corrected rounding across the full population for Finding 4. The methodology has been superseded by the Article 6.2.A.1 day-equivalent method, operated in the internal grant-cost tracking workbook described in Qualitative Finding 1.
- Finding 5 (SME owner cost declared under A.2) relates to a single SME owner (Eirik Larsen). The auditors state in the finding itself that "all the persons concerned by this issue were analysed", confirming that the full affected population has been tested within the audit.
- Finding 7 (Kodeworks AS subcontract) was, per the auditors' statement in the finding itself, tested "on a full scope basis". The Kodeworks AS subcontract is the only cost item declared in the subcontracting cost category in the audited period. There is no further population to which the finding could be extended.
- Finding 8 (indirect costs) is derivative. It is the mechanical consequence of the direct-cost adjustments at the 25% flat rate under Article 6.2.E, and carries no independent systemic character.

The beneficiary therefore requests that the "potentially systemic or recurrent" classification be reconsidered in the Final Audit Report. The adjustment amounts are not contested; the beneficiary's concern is that the classification implies a continuing control weakness capable of producing further unknown errors in unaudited periods, which is not consistent with the nature of the findings as described above.

Qualitative Finding 1 — Time records and supervision

The beneficiary acknowledges the observations:

- Project number (as specified in the grant agreement) was not visible in the Werkz time records, although the project title and the reference to Annex 1 were present.
- Employee signatures were not visible in the Werkz output, although access to Werkz requires unique credentials and the system maintains an auditable log of all electronic transactions.
- Supervisor name, date and signature were not visible, although the CEO submitted an extract from the Werkz approval log during the audit.
- Reference to work packages and tasks was missing, although a summary of tasks per work package was provided during the audit.
- Time records of the CEO were supervised and signed by himself.

Corrective actions:

- An internal grant-cost tracking workbook has been put in place. It allocates every hour entry recorded in Werkz to a specific project (grant agreement reference), work package code and task code within that work package, and maintains a complete audit trail from each Werkz hour entry to the figures declared in the financial statement.
- Supervision of senior management time records has been introduced. The time records of the CEO (Per Lindberg, also chair of the board) are countersigned by the CFO (Eirik Larsen); the time records of the CFO are countersigned by the CEO. Both are directors of Sunlit Sea AS; mutual counter-signing by the two directors is the governance arrangement available given the size of the organisation.
- The beneficiary is evaluating the monthly declaration template referenced in Recommendation 1 as a means to reduce record-keeping burden and avoid the need to convert hours into day-equivalents.

Finding 2 — Daily rate for personnel costs (EUR 6 469,38 in favour of the granting authority)

The beneficiary accepts the finding and the recalculation performed by the auditors. The beneficiary agrees that the daily rate under Article 6.2.A.1 is calculated as actual personnel costs incurred during the reporting period, divided by the maximum declarable day-equivalents (215/12 per month of employment, multiplied by the working-time factor, rounded to the nearest half day-equivalent).

Going forward, personnel costs are computed in the internal grant-cost tracking workbook described in Qualitative Finding 1 using this HE formula. The 1 800-hour standard productive time is no longer applied.

Finding 3 — Hours declared versus hours recorded (net EUR 29 640,32 in favour of the beneficiary)

The beneficiary accepts the finding and the recalculation. Going forward, the hours declared in the breakdown of costs are taken directly from the Werkz time-recording system without manual phasing adjustments; the grant-cost tracking workbook enforces direct reconciliation between declared hours and the underlying Werkz entries, in line with Article 20.1(a).

Finding 4 — Half-day rounding (EUR 108,87 in favour of the beneficiary)

Accepted. Half-day rounding of day-equivalents is applied in the grant-cost tracking workbook when converting Werkz hours into days worked, consistent with the method used by the auditors in the recalculation.

Finding 5 — SME owner costs declared under A.2 (EUR 16 832,61 in favour of the granting authority)

The beneficiary accepts the finding. The portion of the costs claimed under A.2 that does not qualify under the A.4 unit cost treatment under Article 6.2.A.4 has been rejected. Going forward, SME-owner costs for owners not receiving a salary are declared exclusively under A.4, with the distinction between A.1/A.2 (actual cost, employees and natural persons under direct contract) and A.4 (SME-owner unit cost) enforced by the grant-cost tracking workbook.

Finding 6 — Reclassification of SME owner costs to A.4 (reclassification of EUR 49 034,31)

Accepted. The reclassified amount is calculated as the Annex 2a unit cost (EUR 282,22) multiplied by the country-specific correction coefficient for Norway (128,7%), per the method set out in Article 6.2.A.4 and Annex 2a of the grant agreement. Going forward, the grant-cost tracking workbook applies this unit cost automatically to days worked by SME owners not receiving a salary.

Finding 7 — Kodeworks AS subcontract (EUR 15 000,00 in favour of the granting authority)

The beneficiary accepts the EUR 15 000,00 adjustment. Kodeworks AS was selected without competitive tendering and is wholly owned by the CFO of the beneficiary, who is also an SME owner of the beneficiary. On that basis the beneficiary agrees that the arrangement did not meet the conditions under Article 6.2.B of the grant agreement and its annotations, and the subcontract is rejected in full.

The hours claimed under personnel categories (A.2 as originally reported, A.4 after reclassification) are the hours recorded in Werkz against SUREWAVE tasks by Eirik Larsen personally; the Kodeworks AS invoices cover distinct work by Kodeworks AS and are not derived from those Werkz entries. There is no overlap of recorded hours between the two cost categories, and the beneficiary therefore does not accept the characterisation that costs were charged "simultaneously under the personnel costs category and the subcontracting costs category" for the same hours. All records and documentation relevant to this question were presented to the auditors during the on-site audit of 26–30 January 2026. The beneficiary does not resubmit existing material and does not submit new documentation in response to the Draft Audit Report. The adjustment amount is not contested.

Going forward, related-party transactions will be either avoided or subjected to formal competitive tendering with documented conflict-of-interest disclosure. The procurement policy described in Section 3.2 of the audit report is being updated to include a threshold-based competitive tendering requirement and a related-party transaction protocol with written conflict-of-interest declarations.

Finding 8 — Indirect costs (EUR 1 611,80 in favour of the beneficiary)

Accepted. The adjustment follows mechanically from the direct cost adjustments, applied at the 25% flat rate on the recalculated eligible direct cost base.

Representation Letter

The beneficiary submits the signed Representation Letter concurrently with these comments.

Minor factual corrections requested

The beneficiary requests the following corrections in the Final Audit Report:

- Section 2.1 attendees list and Finding 5 description: the name "Erik Larsen" should read "Eirik Larsen".
- Audit identification table and Section 2.1 attendees list: the auditor's given name appears as "Armund Fossland Medby" in the audit identification table and as "Amund Fossland Medby" in Section 2.1. The beneficiary requests that the spelling be aligned in the Final Audit Report.
- Section 3.2, final paragraph before the Findings: the cross-reference "See Finding 5 below for more information." appears to refer to Finding 7 (Kodeworks). The beneficiary requests that the cross-reference be verified.

Signature

5 November 2026

Eirik Larsen
Chief Financial Officer
Sunlit Sea AS